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Mara Heritage Bank Board Pack — Q3 2025

Board Chair and Chief Executive Officer · 25 June 2025

Prepared for Mara Heritage Bank Board of Directors · Q3 2025 · 25 Jun 2026 · 08:34 UTC

Executive summary

Fifteen months into the five-year plan, the board faces two strategic decisions on concentration risk. Digital operational delivery exceeds every target: mobile transactions at 2.4× baseline, 99.6% uptime, and cost-to-serve down 18%. Capital position remains comfortable at 16.4% CET1, providing 240 basis points above the 14% internal floor. Two concentrations require board action: real estate exposure has reached 31.2% against the 25% internal guideline, and digital lending NPLs have crossed 9% against the 6-7% modelled assumption. Management recommends lowering the FY28 digital revenue target from 18% to 16% and pivoting product mix toward secured SME digital lending. The board must decide whether to approve this recalibration or consider alternatives.

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Performance

Operational delivery validates technology platform; credit model requires correction

Digital operational metrics exceed targets across the board. Mobile transaction volumes run at 2.4× the FY24 baseline. Digital channel uptime has held at 99.6% through Q3. Customer satisfaction scores on digital channels now match the best peer in the market. Cost-to-serve on retail customers has fallen 18%, and branch traffic on routine transactions is down 31%. The technology platform investment is producing the operational benefits the original strategy anticipated.

Digital lending NPLs reached 9% in Q3 against the 6-7% steady-state assumption in the original cohort model. The CRO now assesses that steady-state may settle in the 8-11% range — within tolerance for a high-margin product, but materially above the original assumption. This variance cascades: the FY28 digital revenue contribution target of 18% was modelled on the original NPL assumption. At the revised NPL level, the same revenue contribution requires substantially more book growth or a different product mix.

Real estate concentration has drifted to 31.2% against the 25% internal guideline. This represents a 4.2 percentage point rise over the cycle. The concentration occurred despite risk-weighted assets growing more slowly than the loan book due to mix shift. Provisioning coverage has compressed to 68% from a 74% baseline. Management has been asked to assess whether these constitute material divergence from the strategic plan. [], [], [], [], [], []

Risk

Two concentration breaches require strategic correction

The bank faces simultaneous breaches on its two material risk constraints: real estate at 31.2% against a 25% internal limit, and digital lending NPLs at 9% against modelled 6-7%. These are not independent events. Both reflect execution velocity on digital transformation absorbing management attention while tactical concentration discipline on the legacy book suffered.

Capital headroom of 240 basis points above the 14% CET1 floor provides buffer, but this headroom is now absorbing stress from two concentrated exposures simultaneously. The strategic capital allocation framework reserves 100-150 basis points for opportunistic deployment; the effective available headroom for stress absorption is narrower than the headline figure suggests.

The digital lending book has reached 6% of RWAs ahead of schedule. The original capital allocation framework anticipated growth to 12-15% of RWAs by FY28 with NPL losses at 6-7%. At 9% NPL and current growth trajectory, scaling to 12-15% without product mix pivot would produce unacceptable volatility in earnings and capital consumption. [], [], [], [], [], []

Strategy

CEO recommends recalibration: lower digital revenue target to 16%, pivot product mix

The CEO recommends three linked decisions. First, lower the FY28 digital revenue target from 18% to 16%. Second, pivot digital lending product mix away from unsecured consumer credit toward secured SME digital lending. Third, maintain operational investment in the digital platform while recalibrating revenue expectations to observed cohort dynamics. The recommendation rests on the judgment that the unsecured consumer digital lending thesis was a strategic error — cohort dynamics were insufficiently understood at original strategy approval — and that pivoting now is preferable to defending the original choice.

Three alternatives were considered. Option 1: maintain the 18% target and accept higher NPL volatility. This would require substantially more book growth at current NPL levels, producing material earnings volatility. Option 2: reduce the target to 14-15% and redirect capital to other diversification levers. This would be the most conservative path but would require explanation to investors and may compromise the transformation narrative. Option 3 (the CEO recommendation) sits between these: 16% target with product mix pivot preserves transformation momentum while adjusting for the cohort model error.

The strategic plan assumed Option C — a balanced path preserving corporate banking strength while building digital capability incrementally. Fifteen months in, the evidence shows operational delivery exceeded targets while credit model assumptions failed. The board must decide whether this pattern validates the balanced approach with tactical correction, or whether it signals that execution capacity was overestimated and the overall pace requires recalibration. [], []

> “The unsecured consumer digital lending thesis was a strategic error — cohort dynamics were insufficiently understood at original strategy approval.”

Capital and Governance

CET1 position comfortable; concentration management requires board attention

The bank's CET1 ratio at end-Q3 stands at 16.4%, providing 240 basis points of headroom against the internal floor of 14%. Total capital ratio of 19.1% sits comfortably above regulatory minimums. The headroom has been preserved despite the rise in real estate concentration because risk-weighted assets have grown more slowly than the loan book due to mix shift.

The strategic capital allocation framework sets three principles for FY26-28: capital follows strategic priority not historical share, concentration risk carries loaded hurdle rates, and 100-150 basis points of CET1 headroom is reserved for opportunistic deployment. Corporate banking currently accounts for 62% of RWAs and is allocated to hold or modestly grow. Digital lending at 6% of RWAs is allocated to grow to 12-15% by FY28, with explicit cohort-based capital reservation and the option to slow or accelerate based on actual NPL trajectory.

Material divergence from strategic plan targets is defined as more than 200 basis points off path on any of the five core metrics. The Q3 results show provisioning compression to 68% from 74% baseline and real estate concentration at 31.2% against the 25% guideline. Both warrant board assessment of whether these constitute material divergence requiring formal strategic plan review. [], [], [], [], []

Recommendations

1. Board — Approve or modify the CEO recommendation to lower FY28 digital revenue target from 18% to 16% and pivot product mix toward secured SME digital lending by This meeting

2. Management — Present tactical plan to reduce real estate concentration from 31.2% to below 25% internal guideline, including timeline and revenue implications by Q4 2025 board meeting

3. CRO — Commission external review of digital lending cohort model to validate the revised 8-11% NPL steady-state assessment before scaling the book further by Q4 2025

4. Board Risk Committee — Assess whether Q3 results constitute material divergence from the strategic plan requiring formal plan review under the framework's 200bp threshold by This meeting

5. CFO — Model stress scenario impacts on CET1 if digital lending NPL reaches 12% and real estate exposure faces 20% drawdown, quantifying capital consumption against available headroom by Q4 2025 board meeting

6. Management — Clarify transition plan for existing unsecured digital lending book to avoid crystallising larger near-term losses during product mix pivot by Q4 2025 board meeting

Sources

[1] mara-heritage-bank-board-pack-q3-2025.pdf

[2] mara-heritage-bank-board-pack-q3-2025.docx

[3] mara-heritage-bank-board-pack-q3-2025.pdf

[4] mara-heritage-bank-board-pack-q3-2025.docx

[5] mara-heritage-bank-board-pack-q3-2025.docx

[6] mara-heritage-bank-board-pack-q3-2025.docx

[7] Digital Transformation Strategy — Strategic Refresh

[8] Strategic Capital Allocation Framework

[9] Five-Year Strategic Plan 2024-2028 — Executive Summary